

IN THE HOUSE OF REPRESENTATIVES

HOUSE JOINT MEMORIAL NO. 12

BY TRANSPORTATION AND DEFENSE COMMITTEE

A JOINT MEMORIAL

TO THE GOVERNOR OF THE STATE OF UTAH AND TO THE SPEAKER OF THE UTAH HOUSE OF REPRESENTATIVES AND TO THE PRESIDENT OF THE UTAH SENATE.

We, your Memorialists, the House of Representatives and the Senate of the State of Idaho assembled in the Second Regular Session of the Sixty-eighth Idaho Legislature, do hereby respectfully represent that:

WHEREAS, President Donald J. Trump signed the Unleashing American Energy executive order, which affirms that America's abundant energy resources are essential to economic prosperity and cautions against policies that increase energy costs for American families and businesses; and

WHEREAS, the states of Idaho and Utah have long maintained a close and cooperative relationship grounded in shared free-market principles, regional collaboration, and mutual economic benefit; and

WHEREAS, Idaho and Utah have recently formalized an interstate energy partnership intended to promote reliable, affordable, and efficient energy supply for both states; and

WHEREAS, the Utah House of Representatives Republican Caucus has publicly identified, as a legislative priority, a proposal to impose a substantial export tax on transportation fuels produced in Utah and sold outside its borders; and

WHEREAS, Utah Speaker of the House Mike Schultz has publicly stated through social media posts, videos, and interviews, that Utahns pay higher gasoline prices because out-of-state consumers, particularly Idaho residents, have benefited from Utah's transportation system by not paying fuel taxes, despite the fact that Idahoans pay Idaho fuel taxes and are not obligated to pay Utah's fuel taxes except when in Utah; and

WHEREAS, the International Fuel Tax Agreement requires commercial motor vehicles to apportion and remit fuel taxes among the states based on miles traveled in each jurisdiction, and the Utah proposal would result in an additional fuel tax obligation for Idaho-based trucking companies operating in Utah, creating a duplicative tax burden; and

WHEREAS, Clause 2, Section 10, Article I of the United States Constitution prohibits states from imposing "any Imposts or Duties on Imports or Exports" without the consent of Congress, and the Utah proposal raises serious constitutional concerns by taxing motor fuel solely because it is exported from Utah for use in interstate commerce; and

WHEREAS, in 2022, the State of Washington considered a comparable export tax on fuel sold out of state, but the proposal failed to advance due to the same numerous concerns regarding interstate relations; and

WHEREAS, Idaho imports approximately 70,000 barrels of transportation fuels per day from Utah, and an estimated 75% of the fuel subject to the proposed export tax would be sold to Idaho consumers; and

1 WHEREAS, imposition of such an export tax would result in hundreds of
2 millions of dollars in annual costs borne by Idaho families, farmers, and
3 businesses; and

4 WHEREAS, Idahoans already pay substantial state fuel taxes to support
5 Idaho's transportation system, and the proposed export tax would signifi-
6 cantly increase the total fuel tax burden on Idaho citizens and businesses,
7 placing Idaho among the most heavily taxed fuel markets in the nation; and

8 WHEREAS, a substantial export tax on transportation fuels would dispro-
9 portionately and unnecessarily harm Idaho's economy, agricultural sector,
10 transportation system, and cost of living; and

11 WHEREAS, shifting one state's transportation funding obligations onto
12 residents of a neighboring state undermines the trust, cooperation, and
13 goodwill that have long defined the Idaho-Utah relationship; and

14 WHEREAS, the imposition of an export tax by Utah will almost certainly
15 trigger compensatory measures by affected states, resulting in a plague of
16 new "tit-for-tat" taxes and fees to be borne by nonresidents; and

17 WHEREAS, Idaho and Utah share a mutual interest in maintaining afford-
18 able energy prices, strong regional commerce, and a stable transportation
19 fuel supply for the benefit of both states and the nation.

20 NOW, THEREFORE, BE IT RESOLVED by the members of the Second Regular Ses-
21 sion of the Sixty-eighth Idaho Legislature, the House of Representatives and
22 the Senate concurring therein, that the Idaho Legislature respectfully but
23 firmly opposes any proposal by a neighboring state to impose an export tax on
24 transportation fuels that would disproportionately burden Idahoans.

25 BE IT FURTHER RESOLVED that the Idaho Legislature urges continued in-
26 terstate cooperation and good-faith dialogue to address transportation
27 funding and energy policy challenges in a manner that strengthens, rather
28 than strains, the long-standing partnership between Idaho and Utah.

29 BE IT FURTHER RESOLVED that the Legislature cautions that enactment of
30 such an export tax would significantly harm Idaho citizens and risk lasting
31 damage to a relationship built on mutual respect, collaboration, and shared
32 economic prosperity.

33 BE IT FURTHER RESOLVED that the Legislature urges Governor Spencer Cox
34 to speak out immediately against the proposed tax and to commit to vetoing
35 this unwise and disruptive legislation should it reach his desk.

36 BE IT FURTHER RESOLVED that the Legislature will take any and all ac-
37 tions necessary to block this new tax on the citizens of Idaho, who should
38 never be subject to taxation without representation.

39 BE IT FURTHER RESOLVED that the Chief Clerk of the House of Representa-
40 tives be, and she is hereby authorized and directed to forward a copy of this
41 Memorial to the Honorable Spencer Cox, Governor of the State of Utah; the
42 Honorable Mike Schultz, Speaker of the Utah House of Representatives; and
43 the Honorable Stuart Adams, President of the Utah Senate.